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Case Number: 24VECV04818 Hearing Date: September 23, 2026 Dept: O

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

VALENTINA GAIDUCHIK,

Plaintiff,

vs.

FARMERS GROUP, INC.; FARMERS INSURANCE EXCHANGE; TRUCK INSURANCE EXCHANGE; FIRE INSURANCE EXCHANGE; MID-CENTURY INSURANCE COMPANY; FARMERS NEW WORLD LIFE INSURANCE COMPANY; and DOES 1 through 100, inclusive,

Defendants.

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CASE NO.: 24VECV04818

ORDER SUSTAINING DEFENDANTS MID-CENTURY INSURANCE COMPANY AND FARMERS NEW WORLD LIFE
INSURANCE COMPANY'S DEMURRER WITHOUT LEAVE TO AMEND

I. BACKGROUND

Plaintiff Valentina Gaiduchik ("Plaintiff") alleges Farmers Group, Inc. ("FGI") Mid-Century Insurance Company ("Mid-Century"), and Farmers New World Life Insurance Company ("Farmers World") (jointly "Defendants") terminated Plaintiff

for pretextual reasons. (See Fourth Amended Complaint ("4AC"), ¶ 23.) Plaintiff alleges she was a "captive agent" of Defendants, operating her own Farmers insurance agency for approximately 25 years. (See *id.*, ¶ 22.)

Defendants Mid-Century and Farmers World (jointly "Demurring Defendants") demur to the second cause of action of the 4AC.

II. PROCEDURAL HISTORY

On September 30, 2024, Plaintiff filed a Complaint alleging (1) Breach of Contract; (2) Breach of Covenant of Good Faith and Fair Dealing; (3) Violation of Business and Professions Code § 17200[1]; (4) Intentional Interference with Prospective Economic Advantage; (5) Age Discrimination (Gov. Code § 12940); (6) National Origin Discrimination (Gov. Code § 12940); and (7) Wrongful Termination in Violation of Public Policy.

On January 24, 2025, Plaintiff dismissed Defendants Farmers Insurance Exchange, Fire Insurance Exchange, and Truck Insurance Exchange (collectively, the “Exchange Defendants”).

On May 12, 2025, the Court granted Defendants’ Motion to Compel Arbitration.

On May 27, 2025, Plaintiff filed her First Amended Complaint alleging (1) Breach of Contract; (2) Breach of Implied Covenant of Good Faith and Fair Dealing; (3) Violation of Business and Professions Code § 17200; and (4) Intentional Interference with Prospective Economic Advantage.

On July 1, 2025, the Court granted the parties’ Stipulation for Order Granting

Plaintiff Leave to File First Amended Complaint. The Court struck the order granting

Defendants’ Motion to Compel Arbitration.

On December 1, 2025, the Court sustained Defendants’ Demurrer to the First (as to FGI only), Second, and Fourth Causes of Action in the First Amended Complaint with leave to amend.

On December 22, 2025, Plaintiff filed a Second Amended Complaint alleging 1) Breach of Contract; (2) Breach of Implied Covenant of Good Faith and Fair Dealing; (3) Violation of Business and Professions Code § 17200; and (4) Intentional Interference with Prospective Economic Advantage against all Defendants.

On March 9, 2026, the Court sustained Defendants’ demurrer to the Second Amended Complaint with leave to amend.

On March 27, 2026, Plaintiff filed a TAC alleging the same causes of action. The TAC names the Exchange Defendants Plaintiff previously dismissed on January 24, 2025.

On June 30, 2026, the Court sustained Defendants' Demurrer to the first and second causes of action for breach of contract and breach of implied covenant of good faith and fair dealing, respectively, as to FGI and the fourth cause of action for intentional interference with prospective economic advantage as to all Defendants without leave to amend. The Court sustained Defendants' Demurrer to the second cause of action for breach of implied covenant of good faith and fair dealing as to Midcentury and Farmers World with leave to amend. The Court granted Exchange Defendants' Motion to Strike the TAC.

On July 17, 2026, Plaintiff filed her 4AC alleging (1) Breach of Contract against Mid-Century and Farmers World, (2) Breach of Implied Covenant of Good Faith and Fair Dealing against Mid-Century and Farmers World; and (3) Violation of Business and Professions Code § 17200.

On August 18, 2026, Demurring Defendants filed the instant Demurrer to the second cause of action.

On September 10, 2026, Plaintiff filed an Opposition.

On September 16, 2026, Demurring Defendants filed a Reply.

III. MEET AND CONFER

Before filing a demurrer or motion to strike, the moving party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to demurrer or motion to strike for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer or motion to strike. (See Code Civ. Proc. § 430.41(a), §435.5(a).) A declaration must be filed with a demurrer regarding the results of the meet and confer process. (See Code Civ. Proc. § 430.41(a)(3).)

Demurring Defendants' counsel telephonically met and conferred with Plaintiff's counsel thereby satisfying its obligation to meet and confer. (See Declaration of Sharlynn M. Mate filed August 18, 2026, ¶ 4.)

IV. LEGAL STANDARD

A demurrer may be brought if insufficient facts are stated to support the cause of action asserted. (See Code Civ. Proc. § 430.10(e).) "[T]he court gives the complaint a reasonable interpretation, and treats the demurrer as admitting all material facts properly pleaded." (Id.) In testing the sufficiency of the complaint, the court must assume the truth of (1) the properly pleaded factual allegations; (2) facts that can be reasonably inferred from those expressly pleaded; and (3) judicially noticed matters. (See *Blank v. Kirwan*, (1985) 39 Cal.3d 311, 318.) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. (See *SKF Farms v. Superior Court*, (1984) 153 Cal.App.3d 902, 905.) A demurrer can only be sustained when it disposes of an entire cause of action. (See *Poizner v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119; *Kong v. City of Hawaiian Gardens Redev. Agency* (2003) 108 Cal.App.4th 1028, 1046.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (See *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is on the complainant to show the Court a pleading can be amended successfully. (See *id.*) However, "[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend." (*Youngman v. Nevada Irrigation Dist.* (1969) 70 Cal.2d 240, 245.)

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V. ANALYSIS

The elements for breach of implied covenant of good faith and fair dealing are (1) existence of a contractual relationship between the parties, (2) implied duty, (3) breach, and (4) causation. (See *Smith v. San Francisco* (1990) 225 Cal.App.3d 38, 49.) “A breach of the implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself and it has been held that bad faith implies unfair dealing rather than mistaken judgment. . . .” (*Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1394 [internal quotations and citation thereto omitted].) “If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated ... [T]he only justification for asserting a separate cause of action for breach of the implied covenant is to obtain a tort recovery.” (*Careau & Co.*, 222 Cal.App.3d at 1395; see also *Guz v. Bechtel Nat. Inc.* (2000) 24 Cal.4th 317, 352 [holding, on summary judgement, that where breach of an actual term is alleged, a separate implied covenant claim, based on the same breach, is superfluous].)

“But insofar as the employer's acts are directly actionable as a breach of an implied-in-fact contract term, a claim that merely realleges that breach as a violation of the covenant is superfluous. ...[T]he remedy for breach of an employment agreement, including the covenant of good faith and fair dealing implied by law therein, is solely contractual. In the employment context, an implied covenant theory affords no separate measure of recovery, such as tort damages. ... Allegations that the breach was wrongful, in bad faith, arbitrary, and unfair are unavailing; there is no tort of “bad faith breach” of an employment contract.” (*Guz v. Bechtel Nat, Inc.* (2000) 24 Cal.4th 317, 352.)

Demurring Defendants argue the claim is superfluous of the breach of contract claim as both claims rest on the allegation Defendants terminated Plaintiff's Agent Appointment Agreement (“AAA”) without good cause. (See Dem. at 6:1-7.) Demurring Defendants argue the theory they misrepresented the circumstances of Plaintiff's termination to customers cannot sustain her claim because the Court has already recognized Plaintiff did not maintain an independent economic relationship with Farmers' insureds. (See *id.*, at 6:8-17.) Third, Demurring Defendants argue the 4AC fails to allege a special relationship giving rise to a non-contractual duty necessary to state a tortious breach of the implied covenant of good faith and fair dealing. (See *id.*, at 7:9-19.)

In opposition, Plaintiff argues the 4AC now alleges Demurring Defendants committed fraud by misrepresenting the cause of termination, misrepresented to Plaintiff in the Parry Agreement that the AAA would not be terminated absent specific cause, and misrepresented the circumstances of Plaintiff's termination to the insurance clients, all of which allege more than a mere breach of the AAA's terms. (See Opp. at 6:8-22.) Plaintiff argues her situation as a captive agent is akin to the insurance context and distinguished from ordinary vendor contracts because Insurance Code § 1704 requires they be appointed, and because Demurring Defendants hold superior bargaining position in appointing Plaintiff and Plaintiff relied on the appointment, she alleges a special relationship to support her claim. (See *id.*, at 7:16-18, 8:1-5 citing *Harris v. Atlantic Richfield Co.* (1993) 14 Cal.App.4th 70, 78, 9:21-27.)[2] Plaintiff argues the AAA is a captive insurance agency agreement and is not adequately described as an ordinary commercial lending dispute discussed in *Careau*. (See *id.*, at 8:23-9:4.) Plaintiff distinguishes *Multiplex Ins. Agency v. California Life Ins. Co.* (1987) 189 Cal.App.3d 925, 937 on grounds Plaintiff is an alleged captive agent who was not bargaining at parity. (See *id.*, at 9:5-12.)

In reply, Demurring Defendants argue Plaintiff provides no authority establishing that a special relationship exists between an insurer and its sales agent. (See *id.*, at 5:4-5.) Demurring Defendants argue *Multiplex*, 189 Cal.App.3d at 928-930, 937, holds the relationship between an insurance company and its agent was a “standard commercial arrangement” that did not warrant tort remedies for breach of the implied covenant. (See *id.*, at 6:16-20.) Demurring Defendants argue *Foley v. Interactive Data Corp.* (1988) 47 Cal.3d 654, 692-693 held the usual employment relationship is not analogous to the insurer-insured relationship to support tort remedies on such a claim. (See *id.*, at 6:26-28.) Demurring Defendants argue Insurance Code § 1704 contains no language establishing a special relationship exists between an insurer and its agent. (See *id.*, at 7:12-19.) Finally, Demurring Defendants argue *Harris*, which does not concern an insurance agent, does not hold a party's dependence on a counterparty's appointment satisfies any of the factors giving rise to a special relationship. (See *id.*, at 7:20-28.)

The Court finds the 4AC fails to state a claim for breach of the implied covenant of good faith and fair dealing. The Court is unpersuaded by Plaintiff's arguments she had a special relationship with Demurring Defendants through her position as a captive agent. In *Foley*, the Supreme Court affirmed dismissal of plaintiff's claim for breach of the implied covenant, holding: "tort remedies are not available for breach of the implied covenant in an employment contract to employees who allege they have been discharged in violation of the covenant." (*Foley*, 47 Cal.3d at 700.) The Supreme Court rejected the argument "that a 'special relationship' analogous to that between insurer and insured should be deemed to exist in the usual employment relationship which would warrant recognition of a tort action for breach of the implied covenant." Although the 4AC does not contain an allegation that a special relationship existed based on Insurance Code § 1704 as Plaintiff argues, the Court agrees with Demurring Defendants that this statute, even if alleged, could not support this claim because it contains no language establishing that a special relationship exists between an insurer and its agent.

Here, the 4AC alleges Defendants breached the AAA when they terminated Plaintiff without good cause. (See 4AC, ¶ 43.) The 4AC alleges Defendants terminated Plaintiff on September 29, 2022, to avoid paying Plaintiff earned commissions and to obtain clients from Plaintiff's book of business to give to other insurance agents. (See id., ¶¶ 43, 58-59.) Defendants fraudulently induced Plaintiff and class members to agree to the Parry Class Action Settlement Agreement. (See id., ¶ 44.) Defendants misrepresented the reason for Plaintiff's termination. (See id., ¶¶ 45-55, 57, 62.) Defendants misrepresented the circumstances of Plaintiff's termination to insureds, thus depriving Plaintiff of future economic benefit from those pre-existing relationships. (See id., ¶ 60-61.)

Allegations Defendants breached the AAA by terminating Plaintiff without good cause and informing her of pretextual reasons for her termination cannot give rise to tort remedies as *Foley* held, "contract remedies offer the most appropriate method for expanding available relief for wrongful terminations." (See *Foley*, 47 Cal.3d at 655.) Allegations concerning Defendants' alleged misrepresentations during the Parry Settlement Agreement cannot sustain a claim for breach of the implied covenant as that conduct is wholly separate from the AAA agreement. (See id., at 690 ["The covenant of good faith is read into contracts in order to protect the express covenants or promises of the contract"].) Within the context of the AAA agreement in this action, these allegations again amount to Defendants' breach of the AAA's terms to not terminate without good cause, terms which were added to the AAA by way of the Parry Settlement Agreement. Allegations that Defendants misrepresented the circumstances of Plaintiff's termination to insureds also cannot support a claim for breach of the implied covenant as there is no alleged contractual promise that Plaintiff was to keep her clients after termination and Defendants could not represent to clients the circumstances of Plaintiff's reason for departure. Thus, the Court finds the claim is insufficiently stated.

Further, the Court in its discretion strikes the 4AC as to Farmers Insurance Exchange, Truck Insurance Exchange, and Fire Insurance Exchange. (See Code Civ. Proc. § 436(a).) The Court previously granted these defendants' Motion to Strike the TAC as Plaintiff was not given leave to add new parties to the TAC. The same applies to the 4AC. (See June 30, 2026, Order.)

The Court SUSTAINS Demurring Defendants' Demurrer WITHOUT LEAVE TO AMEND.

VI. CONCLUSION

Based on the foregoing, the Court SUSTAINS Mid-Century and Farmers World's Demurrer WITHOUT LEAVE TO AMEND.

Mid-Century and Farmers World are ordered to file an Answer only by no later than October 5, 2026.

IT IS SO ORDERED.

DATED: September 23, 2026

Hon. Michael R. Amerian

Judge, Superior Court

[1] All statutory references are to California codes unless stated otherwise.

[2] Insurance Code § 1704 requires insurance companies to file a notice of appointment with the Insurance Commissioner before a licensed agent or broker-agent can legally act as an agent for that insurer. (See Ins. Code §1704(a).)